

# Apex Capital - 2023 Review

Hedge Fund Fund    11 findings    Prepared June 9, 2026    Reviewed June 9, 2026

**Partial Audit.** Findings reflect only the documents provided; absence of other document types is not treated as a deficiency.

OVERALL RISK

**HIGH**

QUALITY SCORE

**7/10**

This is a partial audit of Apex Capital Management, LP (HF, 2018 vintage) covering an in-scope subset of three documents: the FY2023 financial statements, a draft auditor workpaper, and a single LP capital account statement. Core investment reconciliations are clean — fair value, the Level 1/2/3 hierarchy, and unrealized gain all tie out exactly — but the audit evidence is provisional: the only auditor source is explicitly a DRAFT internal workpaper, not a signed, issued opinion, so these figures cannot yet be treated as audited. The most material concerns are a management fee base that conflicts between the financial statements ('each LP's capital account balance') and the workpaper ('monthly average NAV'), an unexplained \$10,325K (5.8% of NAV) gap between investments at fair value and total NAV that likely contains an unverified performance allocation accrual, and an unresolved unit-of-measure ambiguity in the Cornerstone Pension Fund capital account. No Critical findings were identified, but the concentration of Warning-level items across fee disclosure, audit finality, and ERISA plan-asset status leaves the financial position directionally subject to material revision pending completion of the full document set.

|                                |                          |                             |                 |                          |
|--------------------------------|--------------------------|-----------------------------|-----------------|--------------------------|
| CrossDocument <b>6/10</b>      | GAAP_ASC946 <b>6/10</b>  | CapitalAccounts <b>6/10</b> | NAV <b>6/10</b> | Completeness <b>6/10</b> |
| InvestmentSchedule <b>8/10</b> | FeesAndCarry <b>8/10</b> | FundTerms <b>8/10</b>       |                 |                          |

## Risk Matrix

| CATEGORY           | CRITICAL | WARNING | INFO | PASS |
|--------------------|----------|---------|------|------|
| CrossDocument      | —        | 1       | —    | —    |
| GAAP_ASC946        | —        | 2       | —    | —    |
| CapitalAccounts    | —        | 1       | —    | —    |
| NAV                | —        | 1       | —    | —    |
| Completeness       | —        | 1       | —    | —    |
| InvestmentSchedule | —        | —       | 1    | 1    |
| FeesAndCarry       | —        | —       | 2    | —    |

| CATEGORY  | CRITICAL | WARNING | INFO | PASS |
|-----------|----------|---------|------|------|
| FundTerms | —        | —       | 1    | —    |

Findings

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |  |
|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| <div><div>WARNING</div><div>CrossDocument</div><div>high confidence</div><div>Open</div><div>Requires verification</div><div>F-001</div></div> <div><p>The management fee base is described inconsistently across documents. Financial statement Note 3 states the fee is '2.0% per annum of each Limited Partner's capital account balance,' while the auditor workpaper states '2.0% per annum of monthly average NAV.' These bases are not economically equivalent and, on a \$177M NAV fund with intra-year contributions and withdrawals (Cornerstone made both), can swing fee accruals by hundreds of thousands of dollars annually. Either the fee disclosure is wrong or the fee was computed on the wrong base.</p><div><div>RECOMMENDATION</div><div>Reconcile the fee base described in the financial statements and the auditor workpaper against the governing LPA, recompute the 2023 management fee under both bases to quantify the divergence, and correct whichever document misstates the base.</div></div><div><div>FS_Clean_ApexCapital_HF_2023.pdf · p.3 · Note 3</div><div>“2.0% per annum of each Limited Partner's capital account balance (FS); auditor workpaper states '2.0% per annum of monthly average NAV’”</div></div></div> |  |
| <div><div>WARNING</div><div>GAAP_ASC946</div><div>high confidence</div><div>Open</div><div>Requires verification</div><div>F-002</div></div> <div><p>The only audit evidence provided is an internal workpaper from Grant &amp; Norris LLP explicitly labeled 'DRAFT — internal workpaper, not a final issued auditor's report.' The financial statements therefore carry no final, issued independent auditor's opinion, and figures including the fair value conclusions and the subsequent-events sign-off (through February 28, 2024) are provisional and could change before opinion issuance.</p><div><div>RECOMMENDATION</div><div>Obtain the final, signed auditor's report and confirm that all key figures (NAV, fair value hierarchy, fee accruals) match the draft workpaper before treating the statements as audited.</div></div><div><div>AW_Clean_ApexCapital_HF_2023.pdf · p.1 · Header</div><div>“Workpaper was prepared by Grant &amp; Norris LLP (DRAFT — internal workpaper, not a final issued auditor's report)”</div></div></div>                                                                                                                                                                                                      |  |

**WARNING**

GAAP\_ASC946

high confidence

Open

Requires verification

F-003

The financial statements cite ASC 946 compliance yet omit two mandatory elements within the provided document: Financial Highlights (expense ratio, net investment income ratio, total return) and a condensed Schedule of Investments. The document also 'appears to end mid-notes,' suggesting it is truncated/incomplete. This is an omission within the provided financial statements rather than a missing document type.

## RECOMMENDATION

Obtain the complete financial statements including Financial Highlights and the condensed Schedule of Investments; verify expense ratios and total return against the capital account statement and fee terms, and confirm position-level fair values and Level 3 methodologies.

**FS\_Clean\_ApexCapital\_HF\_2023.pdf**

*"Document appears to end mid-notes; no Financial Highlights included"*

**FS\_Clean\_ApexCapital\_HF\_2023.pdf**

*"No detailed schedule of investments present in provided pages"*

**WARNING**

CapitalAccounts

high confidence

Open

Requires verification

F-004

Unit-of-measure ambiguity in the Cornerstone capital account statement: a 'whole dollars per profile warning flag' implies an ending balance of \$14,643 — economically implausible for an institutional pension fund — while a thousands interpretation implies \$14.6M (8.3% of fund NAV). The two readings differ by a factor of 1,000. While the rollforward reconciles internally (implied beginning \$12,514 + \$1,500 – \$2,000 + \$2,629 = \$14,643), no beginning balance is independently stated, so the ending balance is not independently falsifiable, and the single LP figure cannot be reconciled to total fund NAV.

## RECOMMENDATION

Confirm the unit of measure with the administrator, obtain the stated beginning capital balance, re-perform the rollforward in the confirmed unit, and cross-check implied units held against NAV per unit of \$2,098.74.

**CAS\_Clean\_ApexCapital\_CornerstoneLP\_2023.pdf** · p.1 · Capital Account Rollforward

*"Cornerstone Pension Fund APEX-LP-0042; contributions \$1,500; withdrawals \$(2,000); net income \$2,629; ending \$14,643.*

*NOTE: LP amounts in whole dollars per profile warning flag."*

**WARNING** Completeness medium confidence Open Requires verification

F-005

Cornerstone Pension Fund is an LP investor, but ERISA plan-asset status is not addressed in the provided documents. There is no disclosure of whether benefit plan investors are under the 25% significant-participation threshold or whether the fund operates as a VCOC/QPAM-reliant vehicle. If benefit plan investors exceed 25% of any class, the fund's assets are ERISA plan assets, the GP becomes a fiduciary, and the 20% performance allocation could raise prohibited-transaction questions.

#### RECOMMENDATION

Obtain the GP's benefit plan investor percentage calculation and any 25%-test representation; confirm whether the fund relies on the significant-participation exception or operates as plan assets with ERISA-compliant fee arrangements.

**CAS\_Clean\_ApexCapital\_CornerstoneLP\_2023.pdf** · p.1 · Capital Account Rollforward  
*"Cornerstone Pension Fund APEX-LP-0042"*

**WARNING** NAV medium confidence Open Requires verification

F-006

Unexplained gap of \$10,325K between investments at fair value (\$187,450K) and total NAV (\$177,125K) — approximately 5.8% of NAV in net liabilities with no visible disclosure of what they comprise. The most likely candidate is an accrued performance allocation (20% of net profits subject to HWM), but the provided extraction does not confirm the performance fee accrual exists. If the performance allocation has not been accrued against NAV, NAV per unit of \$2,098.74 may be overstated from the LP's perspective.

#### RECOMMENDATION

Obtain the full Statement of Assets and Liabilities detail. Confirm whether the accrued performance allocation and accrued management fee are included in the \$10,325K net liability position, and verify the HWM was applied in computing the accrual.

**FS\_Clean\_ApexCapital\_HF\_2023.pdf** · p.1 · Statement of Assets  
*"Total Members' Capital (NAV) was \$177,125 thousand at December 31, 2023"*

**FS\_Clean\_ApexCapital\_HF\_2023.pdf** · p.1 · Statement of Assets  
*"Investments at fair value were \$187,450 thousand"*

**INFORMATIONAL**

InvestmentSchedule

medium confidence

Open

F-007

Level 3 assets of \$5,520K (~2.9% of investments) are disclosed only as a hierarchy total. No valuation methodology, unobservable-input table, Level 3 rollforward, or independence of valuation source is provided. Because the GP earns a 20% performance allocation on unrealized gains, even modest GP-marked positions carry a self-dealing incentive that input transparency would mitigate.

**RECOMMENDATION**

Request the ASC 820 Level 3 rollforward, the unobservable inputs table, and confirmation of whether an independent valuation agent prices Level 3 positions. Verify how much of the \$44,650K unrealized gain is attributable to Level 3 marks.

**FS\_Clean\_ApexCapital\_HF\_2023.pdf** · p.3 · Note 2 — Fair Value Measurements

*“Level 1 \$163,210; Level 2 \$18,720; Level 3 \$5,520 thousand”*

**INFORMATIONAL**

FeesAndCarry

high confidence

Open

F-008

Performance allocation of 20% is stated to be subject to a high-water mark, satisfying the HF requirement that a HWM be present. However, the notes disclose no crystallization frequency, no hurdle rate, no loss-carryforward mechanics, and no HWM calculation supporting that carry was applied only above the prior mark. Separately, the 2.0% management fee sits at the top of the market range (and above the 1.25–1.75% trend for 2018+ launches), and its computation base is itself disputed between documents.

**RECOMMENDATION**

Obtain the HWM schedule and incentive fee calculation to confirm carry was charged only on gains above the prior HWM without an unconsented reset, and confirm crystallization frequency and loss-carryforward mechanics from the LPA. Benchmark the all-in fee load once Financial Highlights are obtained.

**FS\_Clean\_ApexCapital\_HF\_2023.pdf** · p.3 · Note 3

*“Performance allocation is 20% of net profits subject to a high-water mark”*

**INFORMATIONAL**

FundTerms

medium confidence

Open

Requires verification

F-009

Side letters are recorded as not present, and no MFN provision is evidenced for Cornerstone Pension Fund, an institutional LP whose stake (on the thousands reading) would exceed the \$10M institutional threshold where MFN protection is market standard. Absence of evidence from a limited document set is weak proof that no side letters exist fund-wide.

**RECOMMENDATION**

Obtain a GP representation as to the existence of side letters fund-wide and confirm whether Cornerstone holds or should negotiate MFN rights.

**CAS\_Clean\_ApexCapital\_CornerstoneLP\_2023.pdf** · p.1 · Capital Account Rollforward

*“Cornerstone Pension Fund APEX-LP-0042; contributions \$1,500; withdrawals \$(2,000); net income \$2,629; ending \$14,643.”*

INFORMATIONAL

FeesAndCarry

medium confidence

Open

F-010

The related-party note asserts 'no related party transactions other than management fee and performance allocation,' and the GP commitment percentage is undisclosed. There is no evidence of GP skin-in-the-game or of the administrator/prime broker relationships being arm's-length, in a document that ends mid-notes.

RECOMMENDATION

Request disclosure of the GP/principals' capital in the fund and a list of all service providers with affiliation status, to substantiate the related-party assertion.

FS\_Clean\_ApexCapital\_HF\_2023.pdf · p.3 · Note 4 — Related Party Transactions

*"No related party transactions occurred other than management fee and performance allocation"*

PASS

InvestmentSchedule

high confidence

Open

F-011

Investment fair value reconciles to the fair value hierarchy components: Level 1 \$163,210K + Level 2 \$18,720K + Level 3 \$5,520K = \$187,450K, matching reported fair value. Unrealized gain reconciles: fair value \$187,450K – cost \$142,800K = \$44,650K, matching reported unrealized gain/loss. All as of fiscal year end 2023-12-31.

RECOMMENDATION

No action required.

FS\_Clean\_ApexCapital\_HF\_2023.pdf · p.1 · Statement of Assets

*"Investments at fair value were \$187,450 thousand; cost basis of \$142,800 thousand"*

## Cross-Document Checks

### Investment fair value reconciliation to fair value hierarchy levels

PASS

EXPECTED Level 1 \$163,210K + Level 2 \$18,720K + Level 3 \$5,520K  
= \$187,450K

FOUND Reported investments at fair value  
\$187,450K

Variance: \$0

### Unrealized gain/loss reconciliation (fair value less cost)

PASS

EXPECTED \$187,450K - \$142,800K = \$44,650K

FOUND Reported unrealized gain \$44,650K

Variance: \$0

### LP capital account rollforward internal reconciliation

PASS

EXPECTED Beginning \$12,514 + contributions \$1,500 - distributions \$2,000 + income  
\$2,629 = \$14,643

FOUND Ending balance  
\$14,643

Variance: \$0

**Total NAV equals sum of all LP ending capital account balances****INFORMATIONAL**

EXPECTED Sum of all LP ending balances  
= total NAV \$177,125K

FOUND Only one LP capital account (Cornerstone, \$14,643 in whole  
dollars) provided; full LP roster not supplied

**Management fee base consistency across financial statement and auditor  
workpaper****WARNING**

EXPECTED Consistent fee base across  
documents

FOUND FS Note 3: '2.0% of each LP's capital account balance'; AW: '2.0% of  
monthly average NAV'

Variance: Different fee bases (period-end capital account vs. monthly average NAV)

**NAV bridge: investments at fair value to total NAV****WARNING**

EXPECTED Difference fully explained by disclosed liabilities  
(e.g., accrued performance allocation, accrued management  
fee, payables)

FOUND Investments at fair value \$187,450K vs. total  
NAV \$177,125K; unexplained \$10,325K (5.8%) net  
liability position

Variance: \$10,325K unexplained

**PBC Document Requests**

- **HIGH** Please provide the final, signed independent auditor's report for the year ended December 31, 2023, and confirm that NAV, the fair value hierarchy, fee accruals, and the subsequent-events conclusion match the draft workpaper. — Auditor
- **HIGH** Please provide the governing LPA section defining the management fee base, confirm whether the fee is computed on each LP's capital account balance or monthly average NAV, and provide the 2023 management fee calculation under the correct base reconciled to the financial statements. — General Partner
- **HIGH** Please provide the complete financial statements including the Financial Highlights schedule (expense ratio, net investment income ratio, total return) and the condensed Schedule of Investments, confirming the document is not truncated. — Fund Administrator
- **HIGH** Please confirm the unit of measure for the Cornerstone Pension Fund (APEX-LP-0042) capital account statement, provide the stated beginning capital balance, and re-perform the rollforward so beginning + \$1,500 – \$2,000 + \$2,629 ties to the ending balance in the confirmed unit. — Fund Administrator
- **HIGH** Please provide the full Statement of Assets and Liabilities detail explaining the \$10,325K difference between investments at fair value (\$187,450K) and total NAV (\$177,125K), identifying the accrued performance allocation and accrued management fee and confirming the HWM was applied in the accrual. — Fund Administrator



- **MEDIUM** Please provide the GP's benefit plan investor percentage calculation and any 25% significant-participation test representation, and confirm whether the fund relies on the significant-participation exception or operates as ERISA plan assets. — *Legal Counsel*
- **MEDIUM** Please provide the ASC 820 Level 3 rollforward, the significant unobservable inputs table, and confirmation of whether an independent valuation agent prices the \$5,520K of Level 3 positions. — *Fund Administrator*
- **MEDIUM** Please provide the high-water mark schedule and 2023 incentive fee calculation, and confirm crystallization frequency and loss-carryforward mechanics from the LPA. — *General Partner*
- **LOW** Please provide a representation as to the existence of side letters fund-wide and confirm whether Cornerstone Pension Fund holds MFN rights. — *General Partner*
- **LOW** Please provide disclosure of the GP/principals' capital committed to the fund and a list of all service providers with their affiliation status, to substantiate the related-party note. — *General Partner*

## Recommended Next Steps

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1. Obtain the final, signed auditor's report and reconcile all key figures to the draft workpaper before relying on any financial statement figures as audited. *immediate*
2. Resolve the management fee base conflict against the LPA and recompute the 2023 fee, quantifying any divergence between the capital-account and monthly-average-NAV bases. *immediate*
3. Obtain the full Statement of Assets and Liabilities to explain the \$10,325K NAV gap and confirm the performance allocation accrual and its HWM application. *immediate*
4. Confirm the unit of measure and beginning balance for the Cornerstone capital account to resolve the factor-of-1,000 ambiguity. *near term*
5. Obtain the GP's ERISA benefit plan investor percentage / 25%-test representation given a pension fund LP. *near term*
6. Obtain the complete financial statements including Financial Highlights, condensed Schedule of Investments, and the Level 3 unobservable-inputs disclosures. *near term*
7. Confirm HWM crystallization frequency and loss-carryforward mechanics, side letter / MFN status, and GP commitment before finalizing terms diligence. *before finalization*

## Document Set

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This is a partial audit performed at the user's request on an intentionally limited subset of documents. The in-scope documents were the FY2023 financial statements, a draft auditor workpaper, and a single LP capital account statement for Cornerstone Pension Fund. Other document types typically reviewed for a hedge fund — including the final issued auditor's report, the Limited Partnership Agreement/offering documents, and side letters — were not included in this audit scope and are therefore not scored as



deficiencies. Note that the omission of Financial Highlights and the Schedule of Investments is treated as an omission within the provided financial statements (Finding F-003), not as a missing document type.

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AI-generated decision support — not a professional audit opinion or sign-off. All findings require qualified professional review.